by the high-interest regime of the Reserve Bank. If only the Reserve Bank relaxed on the interest rate, investment would take off and launch the economy into a virtuous cycle of increasing growth and declining inflation.

When Chidambaram was asked in a media interaction in July 2013 why he was frustrated with the Reserve Bank when all it was doing was pursuing its mandate of price stability, he admitted that the Reserve Bank's mandate was indeed price stability but that 'mandate must be understood as part of a larger mandate of promoting growth'. The clear implication was that the Reserve Bank was mistaken in interpreting its mandate.

I believe both Pranab Mukherjee and Chidambaram had erred in seeing the Reserve Bank as being fixated on inflation, unmindful of growth concerns. On the contrary, the Reserve Bank interprets its mandate exactly as Chidambaram had said, although not as he implied. The Reserve Bank was targeting price stability precisely because it is a necessary condition for sustained growth.

The argument is slightly technical but I will try to communicate this as simply as possible. Textbook economics tell us about the famous 'Phillips curve', put forward by the New Zealand economist William Phillips in 1958, which shows a historical inverse relationship between unemployment and inflation in every economy. Stated simply, lower unemployment in an economy correlates with higher inflation. Subsequent research led by Milton Friedman showed that the inverse relationship is true only in the short run; in the long run, you cannot reduce unemployment by simply tolerating higher inflation.

If we transpose the Phillips curve research to the Indian context, the inference that follows is that there could possibly be a trade-off between growth and inflation in the short-term. In other words, it might be possible to grease the wheels of growth by acquiescing in higher inflation; but such growth is bound to be fickle. In the long run though, higher inflation takes a heavy toll on growth. If we want sustained growth, low and steady inflation is a necessary prerequisite. It was this understanding based on historical evidence and empirical research that underpinned the Reserve Bank's interpretation of its mandate.